

CORPORATE GOVERNANCE

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CHAIRMAN'S MESSAGE



G A R D Prasanna
Chairman

The operating environment during the year under review remained complex and dynamic, shaped by economic volatility, political tensions, regulatory developments, and rapid digital transformation. Amid an evolving landscape, our Board has remained steadfast in its oversight role, upholding strong governance structures and internal controls to safeguard the interests of depositors, investors, customers, and the broader community, while continuing to honour the social and fiduciary trust placed in us.

This year, we made significant strides in strengthening our governance ecosystem, aligning with both regulatory expectations and global best practices. LBF became one of the early adopters of the Sustainability Reporting Standards (SLFRS S1 and S2), issued by the Sri Lanka Accounting and Auditing Standards Monitoring Board. These standards have been seamlessly embedded into our risk management and reporting frameworks, enabling a more holistic view of ESG factors. In line with this, the scope of both the Board and Management Sustainability Committees was expanded to drive strategic ESG integration across the organisation.

We also reaffirmed our focus on digital resilience and cyber security. The successful re-certification under ISO 27001:2022 reflects our commitment to strengthening information security and IT governance in a fast-evolving digital risk landscape. To further future-proof our

Corporate Governance remains the cornerstone of LBF's sustained resilience and success. For over five decades, we have built a Governance Framework that goes beyond compliance, anchored in integrity, transparency, accountability, and fairness.

operations, we advanced the governance of artificial intelligence and data usage through a structured framework that emphasises ethics, accountability, and transparency.

Recognising the growing importance of stakeholder trust, the Board approved a set of new and revised policies ranging from personal data protection and whistleblowing, to anti-bribery and corruption underscoring our zero-tolerance stance on unethical practices. The proactive implementation of Personal Data Protection Act No. 9 of 2022 was a critical milestone, including the appointment of a Data Protection Officer and company-wide awareness initiatives.

The composition of our Board continues to reflect a balanced blend of experience, independence, and diversity. This year, we further enhanced Board effectiveness by appointing two (2) Independent Non-Executive Director with sustainability and corporate strategy expertise. Board independence and committee effectiveness were again affirmed through our annual self-evaluation process. Ongoing training sessions covering topics such as climate risk, AI ethics, and regulatory compliance ensured that Directors remained well-informed and forward-thinking in their oversight responsibilities.

In line with our strategy of embedding ESG into every aspect of decision-making, the Board-approved ESG Policy and Pledge provide a clear articulation of our commitments. Our initiatives from branch solarisation and the launch of green financing products, to calculating Scope 3 emissions reinforce our roadmap towards Sri Lanka's net zero goals by 2050. These efforts were closely monitored by the Board Sustainability Committee

and remain an integral part of our value creation strategy.

Throughout the year, the Board met regularly and discharged its fiduciary duties with rigour and independence. Enhanced focus was placed on operational risk governance through the formation of a new Operational Risk Management Committee and the realignment of risk management frameworks to emerging threats and opportunities. The internal audit function, risk committees, and compliance teams continued to play a central role in preserving the integrity of our internal control environment.

As we look ahead, we are well aware of the evolving regulatory, technological, and societal shifts that will shape the future of financial services. The Board is committed to strengthening the governance frameworks necessary for long-term success ensuring alignment with new sustainability disclosure standards, evolving data ethics, and the responsible use of emerging technologies.

On behalf of the Board of Directors, I extend my sincere appreciation to our shareholders, customers, regulators, and employees for their continued trust and support. Our governance ethos remains rooted in creating sustainable value responsibly, inclusively, and with purpose.

G A R D Prasanna
Chairman

30 May 2025